

Institutional Persistence, Path Dependence, and Historical Labor-Market Inequality

Labor Markets and Political/Cultural Institutions – Week 7

Teaching deck draft

Central question

- Why do past labor institutions shape modern labor outcomes after the original rules disappear?
- Which mechanisms connect historical exposure to wages, mobility, occupations, skills, and bargaining power?
- When is a long-run pattern persistence, and when is it just serial correlation in fundamentals?

- Week 6: current hierarchy as a system of access to jobs, networks, credentials, and protection.
- Week 7: historical institutions as origins of durable labor-market inequality.
- Week 8: reform and implementation when inherited structures shape adjustment.
- The course object remains labor allocation, not generic historical political economy.

Why history belongs in labor economics

- Labor institutions set outside options, mobility costs, bargaining power, and contract terms.
- Historical rules shape schools, roads, land, local public goods, and market access.
- Networks and political rights transmit job information and worker protection over time.
- The modern outcome must be a labor margin: wages, jobs, occupations, mobility, skills, or power.

What counts as persistence?

Concept	Mechanism	Labor diagnostic
Persistent fundamentals	geography, resources, transport, disease, urban potential	Does history proxy a stable baseline?
Path dependence	increasing returns, sunk costs, networks, lock-in	Did a shock move the economy onto a durable trajectory?
Institutional persistence	old rules change current labor channels	Which labor margin is still moving?

A persistence decomposition

$$Y_{it}^{labor} = \alpha + \beta H_i + \delta M_{it} + \gamma X_i + \lambda_t + \varepsilon_{it}$$

- H_i : historical institutional exposure.
- M_{it} : measured labor mechanism: schooling, mobility, infrastructure, employer power, networks.
- X_i : persistent fundamentals.
- Goal: interpret β through a labor mechanism, not only a long-run coefficient.

- A historical coefficient is not yet a persistence mechanism.
- A strong paper names the old institution, the counterfactual, and the first moving labor margin.
- It also asks which stable fundamentals could produce the same pattern.
- The question to keep asking: what does the old institution still change about work today?

Coercion, labor power, and contract enforcement

- Coercive systems restrict mobility and weaken outside options.
- Dell: Peru's mining mita boundary as historical exposure to forced labor.
- Key channels: public goods, roads, market access, land, local elite power.
- Naidu–Yuchtman: coercive contract enforcement changes quitting costs, wages, and adjustment.

Coercion to modern labor outcomes

Historical object	First labor margin	Modern outcomes
Labor draft	mobility and outside options	wages, occupations, self-employment
Coercive contract law Serfdom or slavery	quitting costs and discipline land access and bargaining	wages, separations, turnover migration, schooling, employer power

Migration regimes and mobility

- Migration restrictions shape settlement, job networks, and local information.
- Forced migration can change local public finance, housing, occupations, and politics.
- The labor question is not only who moved, but which labor markets became accessible.
- Diagnostic margins: commuting, migration, entrepreneurship, occupation sorting, job entry.

Schooling, public goods, and occupational structure

- Land and local public finance affect schools, roads, market access, and labor demand.
- Markevich–Zhuravskaya: serfdom abolition changes mobility, competition, and local structure.
- Jones–Schmick: Reconstruction education and long-run Black-White labor inequality.
- The frontier ties historical institutions to measured schooling and occupational standing.

Networks, information, and political rights

- Networks transmit job information, insurance, and exit costs.
- Political rights affect school finance, public employment, enforcement, and protection.
- Community institutions can support workers while locking in low-return occupations.
- Persistence can survive formal abolition through these meso-level channels.

Wars and abrupt shocks

- War shocks can shift labor demand, migration, skill acquisition, discrimination, and politics.
- Aizer–Boone–Lleras-Muney–Vogel: WWII and racial disparities in labor outcomes.
- Ferrara: wars and minority labor-market outcomes in the twentieth century.
- Main risk: war bundles many treatments, so the labor margin must be narrowed.

Methods box: historical designs

Design	Identifies best	Main caution
Historical border or discontinuity	local exposure to an old institution	geography and boundary selection
War or abrupt political shock	demand, migration, or access shifts	bundled treatment
Regime abolition or reform	removal or expansion of institutions	simultaneous reforms
Linked microdata	lifecycle and intergenerational effects	linkage and survival bias
Lineage or ancestry proxy	family and community transmission	selection and mixed mechanisms
Historical GIS	spatial access and public goods	spatial correlation and map error

- Historical census and linked census data: occupation, literacy, migration, household structure.
- Archives, courts, contracts, and payrolls: enforcement, breach, quitting, wages, personnel.
- School, parish, and public-goods records: teachers, finance, roads, hospitals, poor relief.
- Cadastral and colonial maps, GIS layers, war records, military files, newspapers, legal texts.

Representative paper map

Theme	Anchor	Labor mechanism
Forced labor	Dell	public goods, roads, market access
Contract coercion Abolition	Naidu–Yuchtman Markevich–Zhuravskaya	quitting costs, wages, mobility competition, mobility, organization
Education and race	Jones–Schmick	schooling, occupation, inequality
War reallocation	Aizer et al.; Ferrara	demand, discrimination, openings
Forced migration	Chevalier et al.	settlement, policy, local labor markets

- Measure modern employer power as a legacy of coercive labor systems.
- Link historical schooling and public goods to occupation and earnings trajectories.
- Use digitized archives, OCR, linked census files, and historical GIS to test mechanisms.
- Study when forced migration changes labor protection, local demand, or sorting.
- Convert broad legacy claims into concrete labor-allocation mechanisms.

- Reproduce: synthetic Dell-style boundary comparison.
- Diagnose: classify persistence claims as fundamentals, path dependence, or labor-channel persistence.
- Transfer: map designs to Naidu–Yuchtman, Markevich–Zhuravskaya, Jones–Schmick, wars, and forced migration.
- Output: reproduction table, mechanism diagnostic, transfer classification.

- Week 7 explains why inherited institutions can survive in labor markets.
- Week 8 asks how reforms work when those inherited structures differ.
- Reform effects depend on employer power, mobility costs, skills, public goods, networks, rights, and capacity.
- The next question: when does new law change actual labor-market behavior?

Takeaways

- Persistence is a mechanism claim, not only a time-series fact.
- Historical labor institutions persist through outside options, skills, mobility, public goods, networks, and rights.
- Identification designs are useful only when paired with a labor mechanism and careful data provenance.
- The frontier is historical, but the object remains work, wages, allocation, power, and inequality.